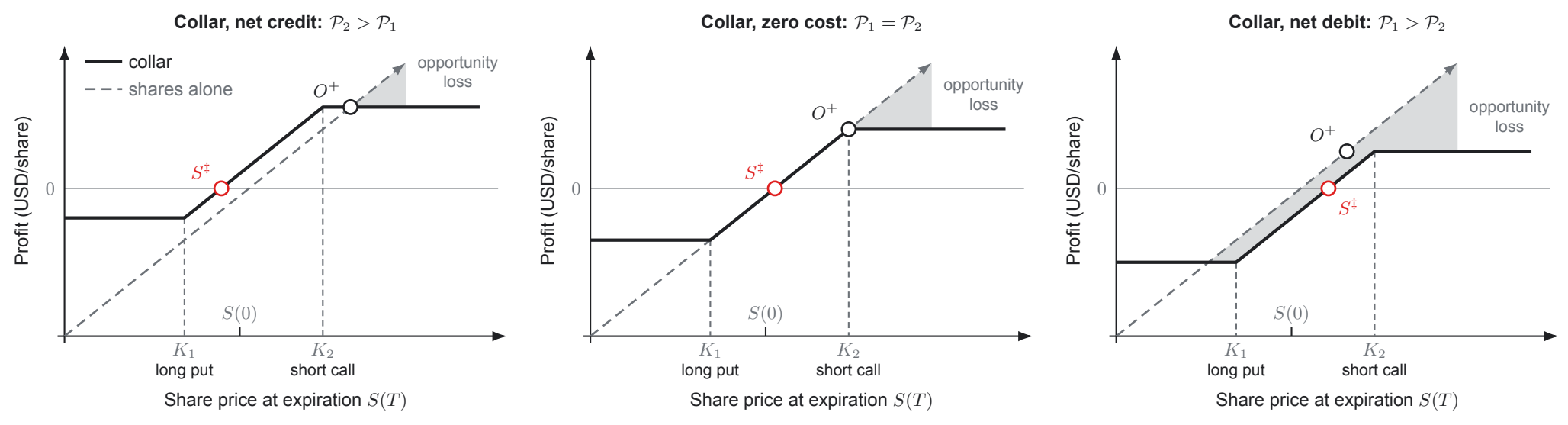
Collar, net credit: $\mathcal{P}_2 > \mathcal{P}_1$
collar
shares alone
opportunity loss
O^+
$S^\ddagger$
0
$S(0)$
K_1
long put
K_2
short call
Profit (USD/share)
Share price at expiration $S(T)$
Collar, zero cost: $\mathcal{P}_1 = \mathcal{P}_2$
opportunity loss
O^+
$S^\ddagger$
0
$S(0)$
K_1
long put
K_2
short call
Profit (USD/share)
Share price at expiration $S(T)$
Collar, net debit: $\mathcal{P}_1 > \mathcal{P}_2$
opportunity loss
O^+
$S^\ddagger$
0
$S(0)$
K_1
long put
K_2
short call
Profit (USD/share)
Share price at expiration $S(T)$